

MGT 491: Investments

Spring Quarter, 2026

PROFESSOR: Chris Girand, CFA

EMAIL: cgirand@ucsd.edu

PHONE: (917)657-6978

Class: Thursday from 6:30 pm until 9:20 pm.

Office Hours: Wednesday from 11am - 1:15pm, Bloomberg Lab (adjacent to IT), and/or by Appointment (in-person or Zoom).

COURSE DESCRIPTION

This course is a survey of the investment landscape. We will analyze the characteristics, returns and risks of a variety of asset classes and the securities within them - common equity, preferred equity, corporate debt, sovereign debt, municipal debt and derivatives. We will employ modern portfolio theory to build a passive, diversified investment portfolio. To augment the textbook, students will make extensive use of an Interactive Brokers (IB) trading account to track self-managed portfolios. We will then abandon portfolio theory with a hands-on dive into security selection. Our end goal will be to develop and analyze investment strategies that maximize returns and minimize risks for investors with medium and long-term investment horizons. We will question market efficiency on a weekly basis and be rewarded for our due diligence.

<u>Date:</u>	<u>Topics:</u>	<u>Chapters:</u>
4/2/26	Asset Class Mosaic Interactive Brokers (IB) Account Setup MVO Calculator Case Study: Apple Computer Peruse Bodie, Kane, Marcos Read Greenblatt	- 1 thru 3 1 thru 7
4/9/26	Modern Portfolio Theory Index Construction Methodologies Case Study: Tilly's Finish Greenblatt, Generate Magic Formula List Peruse Bodie, Kane, Marcos	 4 thru 8
4/16/26	CAPM The Efficient Market Hypothesis Alternative data Section I of Final Paper: Business Desc. Peruse Bodie, Kane, Marcos	 9 and 10
4/23/26	Monkey see, monkey do. EMH Anomalies Behavioral finance Section II of Final Paper, due diligence plan Peruse Bodie, Kane, Marcos	 11 thru 13

4/30/26	Fixed Income I	
	Credit Spread Project Due (prior to class) Yield Curve, Term Structure Duration, Convexity Case Study: California Resources Section V of Final Paper: ratio analysis	
5/7/26	Fixed Income II Junk Bonds Duration Gap & Portfolio Construction Case Study: Gamestop Bonds Peruse Bodie, Kane, Marcos Section IV(a): relative valuation	14 thru 16
5/14/26	Equity Securities I - selection Porter's 5 Forces Sum-of-parts , special situations Portfolio Mgt: Diversification vs. concentration Case Study: Weight Watchers Peruse Bodie, Kane, Marcos Section IV(b): DCF Valuation	14 thru 19
5/21/26	Equity Securities II - management Equities Project Due (prior to class) Sustainable Growth Theorem Beneish, Piotroski and Altman Multi Factor Portfolios, Fama & French Case Study: Valeant Section IV(b): DCF Valuation	
5/28/26	Weapons of Financial Mass Destruction Call, Puts, Warrants Futures and forward commitments Swaps and Swaptions Case Study: Sprouts Peruse Bodie, Kane, Marcos Section VII: Governance	20 thru 23
6/4/26	Globalization, International Investing Hedge Funds, REITs, Alts, Financial Companies Case Study: Axos Financial Peruse Bodie, Kane, Marcos	24 thru 28
	Section III: Investment Summary (and full paper)	

COURSE MATERIALS

1) The Little Book That (Still) Beats the Market

Author: Joel Greenblatt, Wiley, 2010 ISBN 978-0-470-62415-9 (older editions acceptable)

2) The required text for the course is Bodie, Kane and Marcus, Investments, 13th Ed. (McGraw-Hill Irwin), referred to below as BKM. Older editions are acceptable. I'll be posting readings out of the 10th Edition.

3) All other material (e.g., homework, articles, etc.) will be posted on Canvas

EVALUATION AND GRADING:

Your course grade will be based on the following:

Homework & Quizzes:	20%
Credit & Equity Projects:	30%
Final team report (or exam):	30%
Participation:	20%

Note: During the quarter, Canvas will weight all activities by the number of questions instead of the course weight. Please do not pay too much attention to the combined point score generated this way.

Final Exam or Final Team Report (your choice): A Final Team Report (30% of the grade) is due on June 4th. If the submitted paper is not acceptable, an invitation to take the final exam will be offered to all team members. This "invitation-only" final exam will be take home, non-team project. It will be open book. It will cover the entire course i.e., cumulative. If the final team report from your team is acceptable then no final exam will be offered to your specific team. Note: you do not want to be invited to the final exam.

Team Formations: For the final paper, you are encouraged to work in teams. The maximum size of a team is 3 people. You can do it alone or with a small team of two. I will review peer reviews and adjust final grades accordingly, but when the final paper is turned in every member of the team is responsible for it.

Class and Group Participation: You are expected to be prepared for class, and constructively participate in class discussions and in working through assignments in your groups. I may cold call in class, and your responses will affect your class participation grade. Also, peer evaluations conducted at the end of the quarter will affect your participation grade. Participation in the Rady Advanced Equity Valuation Tournament is mandatory.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<http://senate.ucsd.edu/manual/appendices/appendix2.pdf>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or fosorio@ucsd.edu.